

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-19

PELTON INTERACTIVE, INC.

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT'S MOTION FOR JUDGMENT ON THE PLEADINGS

COMES NOW, Respondent, Flexport International LLC, by and through its undersigned counsel, pursuant to Fed. R. Civ. P. 12(c) and 46 C.F.R. § 502.69 (g) and files this, its Motion for Judgment on the Pleadings and in support thereof states as follows:

I. INTRODUCTION AND PROCEDURAL BACKGROUND.

On May 3, 2024, Complainant Peloton Interactive, Inc. (hereinafter “Peloton”), filed a verified complaint (Complaint) against Respondent Flexport International LLC (hereinafter “Flexport”), asserting violations of the U.S. Shipping Act (hereinafter the “Shipping Act”), 46 U.S.C. 40101, et seq. as amended by the Ocean Shipping Reform Act of 2022 (hereinafter “OSRA”).

The Complaint did not identify a single specific transaction, bill of lading, invoice or even time frame, other than the period of 2020-2023. Instead, the only factual allegations it contained were marketing materials from Flexport’s website. Flexport moved to dismiss the Complaint on multiple grounds, including that Peloton failed to plead sufficient facts – or any facts at all – to support its claims and failed to identify any shipment, bill of lading, invoice or charge which its claims are based. Flexport also moved to dismiss the basis that the vast majority of the claims were time-barred and/or were outside of the jurisdiction of the Commission since this was nothing but a contract dispute.

On September 25, 2024, the Commission entered an Order deferring ruling on the motion to dismiss. [Doc. 13]. In the Order, the Commission specifically pointed out the multiple deficiencies in the Complaint, essentially reiterating, and agreeing with all of Flexport's contentions with respect to same.

In its Order Deferring Ruling on Flexport's Motion to Dismiss, the Commission noted the lack of chronology and details of Peloton's claims. Specifically, the Commission held that Peloton had failed to identify:

1. When the parties entered into agreements for the transportation of the subject shipment;
2. When Peloton engaged third parties to provide inland transportation and for which containers;
3. How the retention of such third parties impacted the alleged reparations claims;

The Commission held that Peloton "must clarify its claims and when the acts or omissions on which it bases its claims occurred and approximately how much it seeks in reparation for each alleged violation." [Doc 14. At p. 2]

Thereafter, on October 2, 2024, Peloton filed its Verified Amended Complaint, in which it identified (but does not attach) the relevant agreements between the parties and attached its Exhibit "A", which "identifies invoices and D&D charges assessed by Flexport" and which "plainly show that Flexport engaged in the unreasonable and unlawful practices alleged herein on a normal, customary, and continuous basis." [Doc. 14 at ¶¶ 30 and 31].

On September 24, 2024, the Commission denied the motion to dismiss based upon the allegations in the Amended Complaint and the data contained in Exhibit "A", which was verified

by Peloton and signed by its attorneys.

The allegations and claims set forth in the Amended Complaint, however, are directly undermined by Peloton's own Exhibit "A" and the express terms of the parties' agreements.

On October 29, 2024, Flexport filed its Answer and Affirmative Defenses¹ which responded in detail to each allegation and claim. [Doc. 16]. Flexport now moves for judgment on the pleadings based upon the information contained in the Amended Complaint, the Answer, and the exhibits attached to each. Flexport submits to this honorable tribunal that, based upon the four corners of the Amended Complaint along with all documents incorporated by reference therein and/or attached to the Answer, Flexport is entitled to judgment as a matter of law.

Peloton's Amended Complaint again consists merely of conclusory allegations tracking the bare elements of Shipping Act claims.

Further, it is clear based on Peloton's own exhibit, that two-thirds of the invoices at issue are clearly time-barred. It is also clear that there are only a handful of invoices for which OSRA-22 would even apply.

Finally, the entire crux of Peloton's claim – that Flexport should be responsible for the detention and demurrage charges because these were "store door" moves – is completely contradicted by the very agreements which Peloton claims controlled the transactions. That is, these agreements – which Peloton did not attach to its Amended Complaint – unequivocally provide that all transportation were "CY-CY" moves (not store door) and that Peloton would be responsible for demurrage and detention charges.

¹ The Order deferring on the motion to dismiss stated that no further submissions would be accepted and specifically ordered Flexport to file an Answer. In turn, Flexport has answered the Amended Complaint.

II. LEGAL STANDARD.

Although the Commission's Rules do not expressly provide for a motion for judgment on the pleadings, it is well-established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12. Further it is clear from the Commission's Rules that motions for judgment on the pleadings are both contemplated and accepted. *See* 46 C.F.R. § 502.69 (g) (defining "dispositive motions" as inclusive of a motion for judgment on the pleadings).

"Judgment on the pleadings is appropriate where material facts are undisputed and where a judgment on the merits is possible merely by considering the contents of the pleadings." *Sellers v. M.C. Floor Crafters, Inc.*, 842 F.2d 639, 642 (2d Cir. 1988), citing *National Fidelity Life Ins. Co. v. Karaganis*, 811 F.2d 357, 358 (7th Cir. 1987). "Motions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review under these motions 'is essentially the same.'" *Ovchinnikov v. Hitrinov*, 6 F.M.C.2d 106, 115 (FMC Feb. 8, 2023), citing *Schuchart v. La Taberna Del Alabardero, Inc.*, 365 F.3d 33, 35 (D.C. Cir. 2004); *Samuels v. Safeway, Inc.*, 391 F. Supp. 3d 1, 2 (D.D.C. 2019).

Although a fact finder "generally may not rely on facts 'outside' the pleadings in deciding [either] motion²,...it may consider matters incorporated by reference or integral to the claim, items subject to judicial notice, and matters of public record." *Ovchinnikov v. Hitrinov* at 115-116 (quoting *United States v. All Assets Held at Bank Julius Baer & Co.*, 772 F. Supp. 2d 191, 197

² Of course, a motion for summary judgment under Federal Rule of Civil Procedure 56 may include reference to evidence outside of the pleading from sources such as declarations, extrinsic documents and testimony. In this instance, judgment on the pleadings is appropriate given the evidence submitted by Peloton in its purported corrected pleading as per the ruling of the Commission. Presumably Peloton will argue that the relief sought by Flexport herein is premature and would be subject to discovery. In light of the admissions in the pleadings, however, Flexport submits that there is more than sufficient information before the Commission for it to make a ruling.

(D.D.C. 2011) (internal citations omitted).

Further, the law is clear that the Answer and the exhibits attached thereto should be considered when ruling on such motion. *L-7 Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011) (*quoting Roberts v. Babkiewicz*, 582 F.3d 418, 419 (2d Cir.2009)) “A complaint is [also] deemed to include any written instrument attached to it as an exhibit, materials incorporated in it by reference, and documents that, although not incorporated by reference, are ‘integral’ to the complaint.” *Sira v. Morton*, 380 F.3d 57, 67 (2d Cir.2004) (citations omitted) (*quoting Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir.2002)). *See also Progressive N. Ins. Co. v. Ladue*, 540 F. Supp. 3d 533, 536–37 (D.S.C. 2021), *aff’d*, 21-1680, 2023 WL 5289365 (4th Cir. Aug. 17, 2023) (citing *Massey v. Ojaniit*, 759 F.3d 343, 347 (4th Cir. 2014); *United States v. Bahr*, 275 F.R.D. 339, 340 (M.D. Ala. 2011)).

III. DISCUSSION.

A. Peloton’s Exhibit “A”.

Peloton’s Exhibit “A” identifies only the following information with respect to each shipment which is the subject of its claims: (1) Flexport’s Flex-ID; (2) Master bill of lading number; (3) Invoice number; (4) Invoice issue month and year; and (5) total for demurrage and detention charges combined.

Notably missing from the exhibit, however, are: (1) the day of issuance of the invoices; (2) the house bill of lading number; (3) the container number; and (4) a breakdown of the charges – ie. what is the amount charged for detention and what for demurrage.

It is also noted that, for whatever reason, there is absolutely no rhyme or reason to the invoices identified in the exhibit – they were provided in an unsearchable PDF document which is neither organized by either FLEX-ID number nor invoice date.

For the Commission's convenience and ease of reference. Flexport attached a native version of the exhibit³ to its Answer as Flexport's Exhibit "A". For further convenience, Flexport color-coded the invoices to reflect those entries which are time-barred, those which were issued after June 15, 2022, and those for which Flexport did not, in fact, provide any ocean service whatsoever. Notably, on the face of the Exhibit "A", it can be readily determined that:

1. **3,249** invoices are at issue
2. **2,164** of these invoices – or two-thirds – were issued more than three years before Peloton filed its complaint and are thus time-barred.⁴
3. **19** invoices were issued after the effective date of OSRA 2022.⁵
4. **221** invoices are for shipments for which Flexport did not provide any ocean transportation service.⁶

Thus, the vast majority of Peloton's claims are time-barred. Further, all but 19 of the invoices at issue are not subject to OSRA.⁷ Finally, 221 invoices are for shipments for which Flexport did not provide any ocean transportation service.

Flexport is thus entitled to judgment as a matter of law with respect to the time-barred invoices as to all counts. Further, with respect to Count II, Flexport is entitled to judgment as a matter of law for every invoice with the exception of the 19 highlighted in Flexport's Exhibit "A".

³ The native version was obtained from Peloton's attorneys.

⁴ Colored Blue in Flexport Exhibit "A".

⁵ Colored Yellow in Flexport Exhibit "A".

⁶ Colored Green in Flexport Exhibit "A".

⁷ It is noted that, of these 19 invoices which Peloton claims violated OSRA: (a) 3 invoices were in fact issued before OSRA; (b) 7 invoices were for storage charges, not D&D; and (c) for the remaining invoices, any missing information were contained in OSRA addenda issued by Flexport. As such, Peloton completely misrepresents that all of these invoices were for D&D charges.

B. Flexport clearly never agreed to “store door” terms”.

Peloton’s entire claim centers on its contention that Flexport agreed to provide “store door” transportation services, in which Flexport would not only be responsible for arranging for the inland transportation – and the return of the containers – but pay any charges associated with such moves. Indeed, Peloton uses the term “store door” 13 times in its Amended Complaint and dozens more times in its submissions in this matter.

Peloton does not understand that, as the shipper and/or consignee for the cargo, it is Peloton that remains responsible for the D&D charges. Peloton’s vague assertion to the contrary is both unsupported and contrary to centuries of maritime jurisprudence. Peloton seems to suggest that by arranging for inland transportation, Flexport is somehow legally liable for payment and absorption of D&D charges and must provide these services to its customers at a financial loss. Peloton thus fails to appreciate the distinction between Flexport’s responsibility (if any) to arrange for the inland transportation from Flexport’s alleged responsibility to pay for same. Peloton further fails to appreciate the distinction between an NVOCC’s responsibility for inland transportation under through bills of lading compared to port-to-port transportation with subsequent inland moves.

Notwithstanding Peloton’s misunderstanding of its illogical legal position, its claims are completely contradicted by the terms of the very agreements it references in the Amended Complaint. The Amended Complaint specifically alleges that the shipments at issue were transported under Negotiated Rate Arrangements (“NRAs”), Master Service Agreements (“MSAs”) entered into in June 2020 and July 2021, and their respective NVOCC Service Arrangements (“NSAs”). [Doc 14 at ¶ 14].

Notably, Peloton did not attach any of the referenced agreements and this failure was likely intentional. Flexport therefore included same in its Answer as exhibits, which clearly can be

considered for this motion.⁸

The two MSAs are essentially identical with respect to their terms. Each MSA provides that Flexport would provide global transportation and/or Customs services as set forth in the service and fee schedules included in the MSA. [Doc 16, Exhibit “B” at p. 2; Exhibit “C” at p. 2].

The MSAs set forth the ocean freight rates for the subject shipments. Notably, the 2020 MSA specifically provided:

3. Bill of Lading Freight Service

- a. All shipments will move on CY-CY Ocean Bills of Lading

4. Detention & Demurrage

- a. Rates include destination detention free time of up to ten (10) calendar days for US destinations. Rates will be subject to additional surcharges after free time expires as per Flexport Tariff Rule 23-030.
- b. Rates include destination detention free time of up to ten (10) calendar days for EU destinations. Rates will be subject to additional surcharges after free time expires as per the Flexport FEWB/FEED Demurrage & Detention Tariff.
- c. Demurrage free time and charges will be charged as per Flexport Tariff Rule 23-030.

[Doc. 16, Exhibit “B” at p. 14]

Likewise, the 2021 MSA specifically provided:

3. Bill of Lading Freight Service

- a. All shipments will move on CY-CY Ocean Bills of Lading.

4. Detention & Demurrage

- a. Peloton’s supplier/s shall be responsible for any additional origin costs.
- b. Rates include destination detention free time/per diem of up to ten (10) days out of terminal. Demurrage for US and CA destinations is per Flexport Tariff. Rates will be subject to additional surcharges after free time expires as per Flexport Tariff Rule 23-030. If EU and AU rates are mutually agreed upon in writing by the parties, the rates shall include destination detention free time/per diem of up to ten (10) days out of terminal and demurrage for EU and AU destinations is per Flexport Tariff. .
- c. Demurrage free time and charges will be charged as per Flexport Tariff Rule 23-040.

[Doc. 16, Exhibit “B” at p. 16]

⁸ *L-7 Designs, Inc. v. Old Navy, LLC*, 647 F.3d 419, 422 (2d Cir. 2011); *Roberts v. Babkiewicz*, 582 F.3d 418, 419 (2d Cir.2009); *Sira v. Morton*, 380 F.3d 57, 67 (2d Cir.2004); quoting *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir.2002).

Thus the terms of the MSAs – which Peloton alleges the shipments were transported under – clearly provides that the terms of the shipments were CY-CY and were subject to demurrage and detention at the rates set forth Flexport’s tariffs.

Further, the NRAs and their respective bills of lading clearly set forth, again, that each transport was CY-CY and subject to the detention and demurrage charges as set forth in Flexport’s Rules Tariff. [Doc. 16, Exhibit “D” (on every page)].

Thus, Peloton’s contention that Flexport agreed to “store door” terms is wholly without merit – and just flat out wrong. To be clear, Peloton alleges:

Faced with Flexport’s failure to properly perform its inland transportation obligations and increasing D&D charges, in or about April 2021, Peloton engaged a third-party logistics provider and began transitioning new shipments **away from store door shipments to container yard (“CY” or “port-to-port”) shipments**, using the third-party logistics provider to manage the inland intermodal transportation.

[Doc 14 at ¶ 21].

Thus, Peloton is clearly stating that it switched from “store door” moves to “CY-CY” or “port to “port” moves. Yet CY-CY moves are precisely what Flexport was providing as unequivocally provided in the MSAs, NRAs and bills of lading. So what exactly is Peloton attempting to allege was “switched”?

Yet, the Agreements which Peloton alleges are applicable to these shipments undermine more than just Peloton’s claim that these were “store door” moves. The Agreements, along with Peloton’s actions as alleged in the Amended Complaint, also clearly negate any possible contention that it was not Peloton’s responsibility to pay for the detention and demurrage charges.

First, Peloton agreed to pay for the Services at the rates so specified therein. [Doc 16, Exhibit “B” at p. 2; Exhibit “C” at p. 2]. The MSAs further addressed the invoices that Flexport would issue. Notably, for the 2020 MSA, Peloton agreed that, for any item on any invoice which

was disputed, Peloton would notify Flexport of such dispute within 7 days. [Doc 16, Exhibit “B” at p. 3]. For the 2021 MSA, this time frame was extended to 30 days. [Doc 16, Exhibit “C” at p. 3]. If such dispute was not resolved, then Peloton could withhold payment. *Id.*

As set forth above, the MSAs then specifically set forth the free time for detention and demurrage and that the charges for detention and demurrage will be as set forth in Flexport’s Rules Tariff. The NRAs and bills of lading, as well as the publicly-available Rules Tariff, clearly set forth that Peloton was to be responsible for all D&D charges, at the rates set forth in the Tariff.

Thus, the Agreements not only set forth that Peloton was responsible for D&D charges but provided a specific mechanism for Peloton to dispute same. And if the dispute was not resolved, then Peloton did not have to pay for same.

Any yet, importantly, that is not what happened here at all – because Peloton paid the invoices. Peloton’s entire claim is that it was not responsible to pay any detention or demurrage charges because these were “store door” moves:

In the store door shipments, **Flexport, as the common carrier, was responsible for arranging and paying for all aspects of the inland movement of the Peloton Containers.....**

[Doc. 14 at ¶ 17].

Yet, the Agreements clearly provided not only that Peloton would be responsible for the payment of such charges but that Peloton had the ability to dispute any invoice. Thus, Peloton received the invoices, approved same and ultimately paid them.

So – the ultimate question here is – if Peloton was not responsible for D&D charges, as it alleges, then why did it pay \$30 million for same?

IV. CONCLUSION

Based on the foregoing, the record before the Commission is clear. This is an appropriate situation for a judgment on the pleadings given the admissions as per the exhibits advanced by Peloton. It becomes clear why Peloton avoided pleading requisite factual support on its first attempt to frame causes of action in that its own evidence belies and/or negates the claims it seeks to advance. Based on the foregoing, Flexport respectfully requests that the Commission enter judgment on the pleadings dismissing the Amended Complaint.

Dated: November 27, 2024

Respectfully submitted,

SPECTOR RUBIN, P.A.

By: /s Robert Borak
Andrew R Spector, Esq.
Robert M. Borak, Esq
3250 Mary Street, Suite 405
Miami, FL 33133
Tel: (305) 537-2000
Fax: (305) 537-2001
robert.borak@spectorrubin.com
andrew.spector@spectorrubin.com
***Counsel for Respondent,
Flexport International LLC***

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on November 27, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.